# Marketing Management - Set 1

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

**1.** Research that tests cause-and-effect relationships through experiments is
A. secondary research
B. causal research
C. exploratory research
D. descriptive research

**2.** A panel of respondents interviewed repeatedly over time forms a
A. longitudinal study
B. census
C. pilot study
D. cross-sectional study

**3.** Consumer behaviour is the study of how consumers
A. select, buy, use and dispose of products and services
B. manufacture, price and distribute the goods that the firm sells
C. finance, produce and audit the products sold by the firm
D. advertise, promote and publicise the products of the firm

**4.** The null hypothesis states that
A. there is always an effect
B. the sample is wrong
C. the sample is large
D. there is no effect or difference

**5.** Marketing is both
A. a theory and a practice that has no scope for creativity
B. a tax and a duty collected by the government
C. a service and a product that cannot be separated
D. an art and a science

**6.** 'The Complete Man' positioning belongs to
A. OYO
B. Titan
C. Raymond
D. Kingfisher

**7.** The production concept emphasises
A. social welfare
B. volume and cost efficiency
C. quality only
D. aggressive selling

**8.** CTR stands for
A. content transfer rate
B. click-through rate
C. cost to revenue
D. customer trust rating

**9.** Which is a NON-probability sampling method?
A. Cluster sampling
B. Quota sampling
C. Stratified sampling
D. Systematic sampling

**10.** Marketing is best described as
A. producing goods in large quantities at the lowest possible cost
B. identifying, anticipating and satisfying customer needs profitably
C. persuading customers to buy the products already manufactured by the firm
D. advertising the products of the firm through television and newspapers

**11.** Marketing research differs from MIS in that marketing research
A. includes the whole of the MIS as one of its sub-systems
B. seeks specific external information to solve a research problem
C. handles continuously both internal records and external data for decisions
D. is computer based and focuses on the future of the firm

**12.** The MIS process runs in the order
A. dissemination, storage, collection
B. processing, collection, retrieval, storage
C. storage, collection, dissemination, processing
D. collection, processing, storage, retrieval, dissemination

**13.** The set of alternatives a buyer considers after information search is the
A. segment
B. quota
C. choice set only
D. evoked set

**14.** Buying the same toothpaste without much thought is
A. complex buying
B. habitual buying behaviour
C. dissonance-reducing
D. variety-seeking

**15.** Avis' 'We try harder' positions the brand against
A. a category
B. an occasion
C. a price point
D. a competitor (Hertz)

**16.** Classifying products into classes by quality, size and weight is
A. storage
B. branding
C. packaging
D. grading

**17.** The selling concept assumes consumers
A. prefer the products that are available everywhere at the lowest price
B. will buy only those products that benefit society in the long run
C. prefer the products which are of the highest quality and performance
D. will not buy enough unless persuaded through aggressive selling and promotion

**18.** A customer giving money or time in return for a product is called
A. promotion
B. exchange
C. positioning
D. segmentation

**19.** Which is NOT a criterion for effective targeting?
A. Accessible
B. Measurable
C. Ambiguous
D. Substantial

**20.** Kotler's four MIS sub-systems do NOT include the
A. internal accounting system

B. data mining system
C. market intelligence system
D. marketing research system

**21.** Research done to expand knowledge without a specific problem is
A. applied research
B. basic research
C. problem-solving research
D. causal research

**22.** How many steps are there in the marketing research process (as in the notes)?
A. Ten
B. Six
C. Four
D. Eight

**23.** The scale that only labels categories (gender, religion) is
A. ratio
B. ordinal
C. nominal
D. interval

**24.** Total error in a study is the sum of
A. response error and interviewer error only
B. sampling error and non-sampling error
C. census error and sample error added to the bias of the researcher
D. design error and administering error, excluding non-response error

**25.** 'Daag Achhe Hain' is the campaign of
A. Tata Tea
B. Lifebuoy
C. Surf Excel
D. Airtel

**26.** 'The management process responsible for identifying, anticipating and satisfying customer requirements profitably' is from the
A. American Marketing Association
B. Reserve Bank of India
C. Chartered Institute of Marketing
D. Harvard Business Review

**27.** 'Don't Buy This Jacket' is a green marketing campaign of
A. Patagonia
B. IKEA
C. Nike
D. Starbucks

**28.** 'A social process by which individuals and groups obtain what they need and want through creating, offering and freely exchanging products and services of value' is the definition by
A. Peter Drucker
B. Philip Kotler
C. Michael Porter
D. Henri Fayol

**29.** STP stands for
A. Segmentation, Targeting, Positioning
B. Sales, Trade, Profit
C. Selling, Telling, Providing
D. Strategy, Tactics, Planning

**30.** Data collected earlier for another purpose is
A. qualitative data only

B. secondary data
C. primary data
D. raw data

**31.** Titan, Fastrack and Sonata illustrate
A. undifferentiated marketing
B. micromarketing
C. differentiated marketing
D. concentrated marketing

**32.** A value proposition explains
A. how much profit the firm expects to earn in the coming year
B. the number of employees working in the firm at present
C. why a customer should choose you over competitors
D. the sources of finance used by the firm for its projects

**33.** The first step in writing a value proposition is to
A. test the value proposition through A/B testing with customers
B. refine the message across all the customer touchpoints
C. determine the ideal customer profile (ICP)
D. write the final message and tagline for the campaign

**34.** Which is NOT one of the six core concepts listed in the notes?
A. Relationships
B. Needs and wants
C. Exchange
D. Profit sharing

**35.** Research used when the problem is not clearly defined and insights are needed is
A. conclusive research
B. causal research
C. exploratory research
D. descriptive research

**36.** Making false, exaggerated or unsubstantiated environmental claims is
A. eco-labelling
B. greenwashing
C. green alliance
D. recycling

**37.** Domino's reformulating its recipe and admitting criticism is
A. image repositioning
B. segmentation
C. undifferentiated marketing
D. product / tangible repositioning

**38.** Deliberately changing how customers perceive a brand relative to competitors is
A. diversification
B. repositioning
C. segmentation
D. skimming

**39.** Optimising a website to appear in search results is
A. CRM
B. SMS
C. SEO
D. PPC

**40.** Jio's free calls and cheap data illustrate
A. low pricing
B. customisation
C. quality

D. innovation

**41.** Climate, region, country and urban or rural area are bases of
A. demographic segmentation
B. geographic segmentation
C. behavioural segmentation
D. psychographic segmentation

**42.** The oldest and most basic marketing orientation is the
A. societal concept
B. marketing concept
C. selling concept
D. production concept

**43.** The first step in the marketing research process is to
A. collect data
B. choose sample size
C. define the research problem
D. prepare the report

**44.** ESG stands for
A. Environmental, Social and Governance
B. Economic, Social and General
C. Ethics, Sales and Goals
D. Energy, Safety and Growth

**45.** Personal income, savings and consumer credit are
A. legal factors
B. personal factors only
C. economic factors
D. social factors

**46.** Online marketing is
A. a type of digital marketing carried out via the internet
B. an older form of marketing carried out only through print media
C. a form of marketing in which goods are sold only through retail shops
D. marketing carried out only through television and radio advertising

**47.** The scale that ranks objects but not by how much is
A. interval
B. ordinal
C. nominal
D. ratio

**48.** Motivation, perception, learning and attitude are
A. psychological factors
B. social factors
C. economic factors
D. cultural factors

**49.** Doubt after buying an expensive mattress with few brand differences is
A. variety-seeking behaviour
B. habitual behaviour
C. dissonance-reducing behaviour
D. complex behaviour

**50.** Netflix personalising recommendations for each account is
A. concentrated marketing
B. mass marketing
C. micromarketing
D. undifferentiated marketing

## Answer key - Set 1

| | | | | |
|---|---|---|---|---|
| 1. **B** | 11. **B** | 21. **B** | 31. **C** | 41. **B** |
| 2. **A** | 12. **D** | 22. **D** | 32. **C** | 42. **D** |
| 3. **A** | 13. **D** | 23. **C** | 33. **C** | 43. **C** |
| 4. **D** | 14. **B** | 24. **B** | 34. **D** | 44. **A** |
| 5. **D** | 15. **D** | 25. **C** | 35. **C** | 45. **C** |
| 6. **C** | 16. **D** | 26. **C** | 36. **B** | 46. **A** |
| 7. **B** | 17. **D** | 27. **A** | 37. **D** | 47. **B** |
| 8. **B** | 18. **B** | 28. **B** | 38. **B** | 48. **A** |
| 9. **B** | 19. **C** | 29. **A** | 39. **C** | 49. **C** |
| 10. **B** | 20. **B** | 30. **B** | 40. **A** | 50. **C** |

## Answers with explanations

**1.** Research that tests cause-and-effect relationships through experiments is

**Answer: B. causal research**

**Why correct:** Testing cause and effect by experiments is causal research.

A is wrong: Secondary research uses existing data.

C is wrong: Exploratory explores.

D is wrong: Descriptive describes.

**2.** A panel of respondents interviewed repeatedly over time forms a

**Answer: A. longitudinal study**

**Why correct:** The same panel interviewed repeatedly over time is a longitudinal study.

B is wrong: A census covers everyone.

C is wrong: A pilot is a small trial.

D is wrong: Cross-sectional is once.

**3.** Consumer behaviour is the study of how consumers

**Answer: A. select, buy, use and dispose of products and services**

**Why correct:** Consumer behaviour studies how people select, buy, use and dispose of products.

B is wrong: That is production/distribution.

C is wrong: That is finance/audit.

D is wrong: That is promotion.

**4.** The null hypothesis states that

**Answer: D. there is no effect or difference**

**Why correct:** The null hypothesis says there is no effect or difference.

A is wrong: Always an effect is the alternative.

B is wrong: It is not about sample correctness.

C is wrong: It is not about sample size.

**5.** Marketing is both

**Answer: D. an art and a science**

**Why correct:** Marketing needs creativity (art) and also research, planning and measurement (science).

A is wrong: It has plenty of scope for creativity.

B is wrong: A tax is not marketing.

C is wrong: A service and a product are not what marketing is.

**6.** 'The Complete Man' positioning belongs to

**Answer: C. Raymond**

**Why correct:** 'The Complete Man' is Raymond's positioning.

A is wrong: OYO is hotels.

B is wrong: Titan is watches.

D is wrong: Kingfisher is beer.

**7.** The production concept emphasises

**Answer: B. volume and cost efficiency**

**Why correct:** The production concept stresses large volume and low cost.

A is wrong: Social welfare is the societal concept.

C is wrong: Quality is the product concept.

D is wrong: Aggressive selling is the selling concept.

**8.** CTR stands for

**Answer: B. click-through rate**

**Why correct:** CTR = click-through rate: clicks divided by impressions, showing how many viewers clicked.

A is wrong: Content transfer rate is not a marketing metric.

C is wrong: Cost to revenue is a finance ratio, not CTR.

D is wrong: Customer trust rating is not a standard measure.

**9.** Which is a NON-probability sampling method?

**Answer: B. Quota sampling**

**Why correct:** Quota sampling uses judgment, so it is non-probability.

A is wrong: Cluster is probability.

C is wrong: Stratified is probability.

D is wrong: Systematic is probability.

**10.** Marketing is best described as

**Answer: B. identifying, anticipating and satisfying customer needs profitably**

**Why correct:** Marketing finds out what customers need, anticipates it and satisfies it at a profit - it starts and ends with the customer.

A is wrong: Producing cheaply in bulk is the production concept.

C is wrong: Persuading people to buy what is already made is selling.

D is wrong: Advertising is only one part of marketing.

**11.** Marketing research differs from MIS in that marketing research

**Answer: B. seeks specific external information to solve a research problem**

**Why correct:** Marketing research collects specific external data for one problem.

A is wrong: Research is a sub-system of MIS.

C is wrong: MIS is continuous.

D is wrong: MIS is computer based and forward looking.

**12.** The MIS process runs in the order

**Answer: D. collection, processing, storage, retrieval, dissemination**

**Why correct:** MIS flow: collection, processing, storage, retrieval, dissemination.

A is wrong: Dissemination cannot be first.

B is wrong: Processing needs collected data.

C is wrong: Storage cannot come before collection.

**13.** The set of alternatives a buyer considers after information search is the

**Answer: D. evoked set**

**Why correct:** The set of brands a buyer considers after searching is the evoked set.

A is wrong: Segment is a market group.

B is wrong: Quota is a sampling term.

C is wrong: Choice set is not the term here.

**14.** Buying the same toothpaste without much thought is

**Answer: B. habitual buying behaviour**

**Why correct:** Buying the same item without thought is habitual buying.

A is wrong: Complex needs research.

C is wrong: Dissonance-reducing involves doubt.

D is wrong: Variety-seeking switches brands.

**15.** Avis' 'We try harder' positions the brand against

**Answer: D. a competitor (Hertz)**

**Why correct:** 'We try harder' positions Avis against Hertz, a competitor.

A is wrong: It is not about a category.

B is wrong: It is not about an occasion.

C is wrong: It is not about a price point.

**16.** Classifying products into classes by quality, size and weight is

**Answer: D. grading**

**Why correct:** Sorting goods into classes by quality, size or weight is grading.

A is wrong: Storage holds goods.

B is wrong: Branding gives a name.

C is wrong: Packaging wraps.

**17.** The selling concept assumes consumers

**Answer: D. will not buy enough unless persuaded through aggressive selling and promotion**

**Why correct:** The selling concept assumes people must be pushed to buy enough.

A is wrong: Availability and price is the production concept.

B is wrong: Social benefit is the societal concept.

C is wrong: Quality focus is the product concept.

**18.** A customer giving money or time in return for a product is called

**Answer: B. exchange**

**Why correct:** Giving money or time for a product is an exchange.

A is wrong: Promotion communicates.

C is wrong: Positioning sets the image.

D is wrong: Segmentation divides markets.

**19.** Which is NOT a criterion for effective targeting?

**Answer: C. Ambiguous**

**Why correct:** An ambiguous segment cannot be measured or served, so it is not a criterion.

A is wrong: Accessible is a criterion.

B is wrong: Measurable is a criterion.

D is wrong: Substantial is a criterion.

**20.** Kotler's four MIS sub-systems do NOT include the

**Answer: B. data mining system**

**Why correct:** Kotler's four sub-systems: internal records, intelligence, research, decision support; 'data mining system' is not one.

A is wrong: Internal accounting is one.

C is wrong: Market intelligence is one.

D is wrong: Marketing research is one.

**21.** Research done to expand knowledge without a specific problem is

**Answer: B. basic research**

**Why correct:** Basic research expands knowledge without a specific problem.

A is wrong: Applied research solves a problem.

C is wrong: Problem-solving research addresses a problem.

D is wrong: Causal research tests cause and effect.

**22.** How many steps are there in the marketing research process (as in the notes)?

**Answer: D. Eight**

**Why correct:** The notes list eight steps in the research process.

A is wrong: Ten is too many.

B is wrong: Six is too few.

C is wrong: Four is too few.

**23.** The scale that only labels categories (gender, religion) is

**Answer: C. nominal**

**Why correct:** A nominal scale only labels categories.

A is wrong: Ratio has a true zero.

B is wrong: Ordinal ranks.

D is wrong: Interval has equal gaps.

**24.** Total error in a study is the sum of

**Answer: B. sampling error and non-sampling error**

**Why correct:** Total error = sampling error + non-sampling error.

A is wrong: That is incomplete.

C is wrong: Not how total error is defined.

D is wrong: That leaves out non-response error.

**25.** 'Daag Achhe Hain' is the campaign of

**Answer: C. Surf Excel**

**Why correct:** 'Daag Achhe Hain' is Surf Excel's campaign.

A is wrong: Tata Tea is 'Jaago Re'.

B is wrong: Lifebuoy is 'Healthy Hands' type campaigns.

D is wrong: Airtel has other campaigns.

**26.** 'The management process responsible for identifying, anticipating and satisfying customer requirements profitably' is from the

**Answer: C. Chartered Institute of Marketing**

**Why correct:** The Chartered Institute of Marketing defines marketing as the management process that identifies, anticipates and satisfies requirements profitably.

A is wrong: The AMA has a different wording.

B is wrong: RBI is the central bank.

D is wrong: Harvard Business Review is a journal.

**27.** 'Don't Buy This Jacket' is a green marketing campaign of

**Answer: A. Patagonia**

**Why correct:** Patagonia's 'Don't Buy This Jacket' ad urged buying less.

B is wrong: IKEA is furniture.

C is wrong: Nike is a sportswear brand.

D is wrong: Starbucks is a coffee chain.

**28.** 'A social process by which individuals and groups obtain what they need and want through creating, offering and freely exchanging products and services of value' is the definition by

**Answer: B. Philip Kotler**

**Why correct:** This 'social process' definition of marketing is Philip Kotler's.

A is wrong: Drucker is known for management by objectives.

C is wrong: Porter is known for competitive strategy.

D is wrong: Fayol is a management theorist.

**29.** STP stands for

**Answer: A. Segmentation, Targeting, Positioning**

**Why correct:** STP = Segmentation, Targeting, Positioning - divide the market, choose segments, fix the brand image.

B is wrong: Sales, trade and profit are results, not STP steps.

C is wrong: Selling, telling and providing are not the STP steps.

D is wrong: Strategy, tactics and planning are general planning words, not STP.

**30.** Data collected earlier for another purpose is

**Answer: B. secondary data**

**Why correct:** Data collected earlier for another purpose is secondary data.

A is wrong: Qualitative describes a type.

C is wrong: Primary data is new.

D is wrong: Raw data is unprocessed.

**31.** Titan, Fastrack and Sonata illustrate

**Answer: C. differentiated marketing**

**Why correct:** Titan, Fastrack and Sonata each target a different segment: differentiated marketing.

A is wrong: Undifferentiated uses one offer.

B is wrong: Micromarketing is individual.

D is wrong: Concentrated serves one niche.

**32.** A value proposition explains

**Answer: C. why a customer should choose you over competitors**

**Why correct:** A value proposition explains why a customer should choose you over competitors.

A is wrong: Expected profit is financial.

B is wrong: Employee count is HR.

D is wrong: Finance sources are financial.

**33.** The first step in writing a value proposition is to

**Answer: C. determine the ideal customer profile (ICP)**

**Why correct:** The first step is to identify the ideal customer profile (ICP).

A is wrong: Testing is later.

B is wrong: Refining touchpoints is later.

D is wrong: The final message is later.

**34.** Which is NOT one of the six core concepts listed in the notes?

**Answer: D. Profit sharing**

**Why correct:** The six core concepts are needs/wants, products, value, exchange, relationships, markets; profit sharing is not one.

A is wrong: Relationships is a core concept.

B is wrong: Needs and wants is a core concept.

C is wrong: Exchange is a core concept.

**35.** Research used when the problem is not clearly defined and insights are needed is

**Answer: C. exploratory research**

**Why correct:** Exploratory research gives insight when the problem is unclear.

A is wrong: Conclusive gives final evidence.

B is wrong: Causal tests relationships.

D is wrong: Descriptive describes known issues.

**36.** Making false, exaggerated or unsubstantiated environmental claims is

**Answer: B. greenwashing**

**Why correct:** False or exaggerated environmental claims are greenwashing.

A is wrong: Eco-labelling is a certified label.

C is wrong: A green alliance is a partnership.

D is wrong: Recycling is reuse.

**37.** Domino's reformulating its recipe and admitting criticism is

**Answer: D. product / tangible repositioning**

**Why correct:** Domino's changed the recipe: a tangible/product change.

A is wrong: Image repositioning leaves the product alone.

B is wrong: Segmentation is dividing markets.

C is wrong: Undifferentiated marketing is one offer.

**38.** Deliberately changing how customers perceive a brand relative to competitors is

**Answer: B. repositioning**

**Why correct:** Deliberately changing perception relative to competitors is repositioning.

A is wrong: Diversification adds products.

C is wrong: Segmentation divides.

D is wrong: Skimming is a price strategy.

**39.** Optimising a website to appear in search results is

**Answer: C. SEO**

**Why correct:** Search Engine Optimisation improves the website's ranking.

A is wrong: CRM manages customers.

B is wrong: SMS is texting.

D is wrong: PPC is paid ads.

**40.** Jio's free calls and cheap data illustrate

**Answer: A. low pricing**

**Why correct:** Jio won on free calls and cheap data: low pricing.

B is wrong: Customisation is not its main claim.

C is wrong: Quality is not its main claim.

D is wrong: Innovation is not its main claim.

**41.** Climate, region, country and urban or rural area are bases of

**Answer: B. geographic segmentation**

**Why correct:** Climate, region and country are geographic bases.

A is wrong: Demographic is age and income.

C is wrong: Behavioural is usage.

D is wrong: Psychographic is lifestyle.

**42.** The oldest and most basic marketing orientation is the

**Answer: D. production concept**

**Why correct:** The production concept is the oldest orientation.

A is wrong: Societal is the newest.

B is wrong: Marketing concept came later.

C is wrong: Selling concept came after production.

**43.** The first step in the marketing research process is to

**Answer: C. define the research problem**

**Why correct:** The first step is to define the research problem.

A is wrong: Data comes later.

B is wrong: Sample size comes after design.

D is wrong: The report is last.

**44.** ESG stands for

**Answer: A. Environmental, Social and Governance**

**Why correct:** ESG = Environmental, Social and Governance - the three areas used to judge a firm's sustainability.

B is wrong: ESG has no economic or general element.

C is wrong: Ethics, sales and goals are not the ESG pillars.

D is wrong: Energy, safety and growth are not the ESG pillars.

**45.** Personal income, savings and consumer credit are

**Answer: C. economic factors**

**Why correct:** Income, savings and credit are economic factors.

A is wrong: Legal factors are laws.

B is wrong: Personal factors are age and occupation.

D is wrong: Social factors are groups.

**46.** Online marketing is

**Answer: A. a type of digital marketing carried out via the internet**

**Why correct:** Online marketing is digital marketing carried out over the internet.

B is wrong: It is not print only.

C is wrong: It is not retail shops only.

D is wrong: It is not TV and radio only.

**47.** The scale that ranks objects but not by how much is

**Answer: B. ordinal**

**Why correct:** Ordinal ranks but cannot show the size of gaps.

A is wrong: Interval has equal gaps.

C is wrong: Nominal only names.

D is wrong: Ratio has a true zero.

**48.** Motivation, perception, learning and attitude are

**Answer: A. psychological factors**

**Why correct:** Motivation, perception, learning and attitude are psychological factors.

B is wrong: Social factors are groups and family.

C is wrong: Economic factors are income.

D is wrong: Cultural factors are values.

**49.** Doubt after buying an expensive mattress with few brand differences is

**Answer: C. dissonance-reducing behaviour**

**Why correct:** Doubt after buying with few brand differences is dissonance-reducing behaviour.

A is wrong: Variety-seeking is switching for fun.

B is wrong: Habitual is routine.

D is wrong: Complex needs big differences.

**50.** Netflix personalising recommendations for each account is

**Answer: C. micromarketing**

**Why correct:** Personalising for each account is micromarketing.

A is wrong: Concentrated serves one segment.

B is wrong: Mass marketing treats all alike.

D is wrong: Undifferentiated uses one offer.